

ACCTG 211H — Mechanics Drill Set (Answer Key)

Week 5 — Accruals and Statement Connections

Week 5 drills: accruals and statement connections

Complete after Day 10 and submit Sunday, February 14, together with your end-of-unit memo. Work individually, check the key, and correct errors. Graded for completion; no generative AI. These drills introduce independent practice, not additional transactions in Campus Curb.

1. A company pays \$1,200 for six months of insurance and initially records a prepaid asset. One month elapses. State the expense, remaining asset, and adjustment's cash effect.
2. A service provider receives \$2,400 for four months of equally provided service and initially records a liability. After one month, state revenue, remaining liability, and the adjustment's effect on equity.
3. A \$6,000 loan bears 8% annual interest. Three months pass without a payment or bill. Calculate interest expense and the related liability. Is recognizing it necessarily a private-information signal?
4. A \$2,400 asset has a four-year useful life, zero residual value, and straight-line depreciation. Calculate one month's depreciation. State the effects on equipment cost, accumulated depreciation, net assets, income, and cash.
5. An organization reports revenue of \$3,000 and expenses of \$2,200. Opening equity is \$5,000; owners contribute \$1,000 and receive \$300 in distributions. Calculate income and closing equity.
6. A company recognizes \$500 of completed services on account and \$300 of wages earned but unpaid. Give the combined effects on assets, liabilities, equity, income, and cash. Check the equation.
7. Distinguish the following questions: does a present right exist; should it appear in the statements; at what amount should it be reported; what assumptions should a note explain? Can a concepts statement override an applicable GAAP standard?

Self-Check Answers

1. Expense **\$200**; prepaid asset **\$1,000**; adjustment cash effect **\$0**.
2. Revenue **\$600**; liability **\$1,800**; equity increases **\$600**. No cash moves in the adjustment.
3. $6,000 \times 8\% \times 3/12 = \mathbf{\$120}$, for both expense and interest payable. **No**: the contract and passage of time can determine it without private information.
4. Depreciation **\$50**. Equipment cost unchanged; accumulated depreciation increases \$50; net assets and income decrease \$50; cash unchanged.
5. Income **\$800**. Closing equity = $5,000 + 1,000 + 800 - 300 = \mathbf{\$6,500}$. Contributions and distributions are not components of income.
6. Assets **+\$500**, liabilities **+\$300**, equity and income **+\$200**, cash **\$0**. The equation holds: $500 = 300 + 200$.
7. **Definition, recognition, measurement, disclosure**. A concepts statement does **not** override an applicable GAAP requirement.